

TVS Motor Company Ltd

TVSMOTOR | Consumer Discretionary

ROE	ROCE	OPM
26.2%	19.7%	14.1%
D/E Ratio	Interest Coverage	EPS
3.83	2.9x	■36.00

5-Year Financial Trend

Year	Revenue (Cr)	Net Profit (Cr)
2024-03	■39,145	■1,779
2023-03	■31,974	■1,309
2022-03	■24,355	■731
2021-03	■19,421	■608
2020-03	■18,849	■647

Cash Flow Intelligence

Metric	Value
CFO Quality	Accrual Risk
CapEx Intensity	Asset Light
Capital Allocation	Distress Signal
FCF 5Y CAGR	N/A
Distress Flag	YES ■

✓ Investment Strengths (Pros)

- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Profits growing faster than revenue shows improving operating leverage and scale benefits

■ Investment Concerns (Cons)

- Debt-to-equity ratio of 3.83 is elevated for a non-financial company and warrants monitoring
- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility